

Introduction

Overview

Demographics

Market

Product

Segment Analysis

Retention

Customer Segmentation Report

Executive Summary

- **The Problem:** A global electronics retailer experience a big drop in Revenue(49.1%) after growth, peaking at \$18.3M in 2019.
- **The Project goal:** identify distinct customer groups based on purchasing behavior to support targeted marketing and retention strategies.
- **Data:** orders from 2016 to Feb 2021 across 8 countries (online and in-store). Analysis reference date: 1st April 2021.

15,266

Registered
Customers

2,517

Products

26,326

Distinct Orders

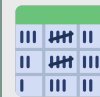
67

Stores

Key Metrics:



Recency: Quarters since last order



Frequency: Orders per quarters (relative to customer tenure)



Monetary: Total Spending (Revenue)



Active Span: time between 1st & last order in quarters

Data Processing:



MySQL: data cleaning and RFM segmentation



Power BI: building visualization and interactive reporting

Segment



At Risk
Champions
Hibernating
Loyal Customers
Must Keep
New Customers
Potential Loyal
Promising

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country

All

Year

All

Product Category

All

Order Type

All

Overview

55.76M

Total Revenue

11887

Active Customers

26326

Orders

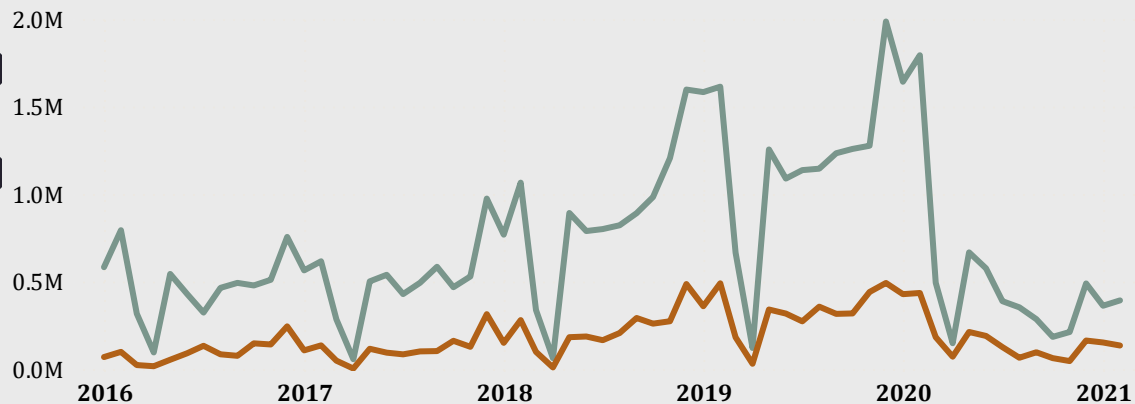
2,117.89

Average Order Value

Revenue by Order Type

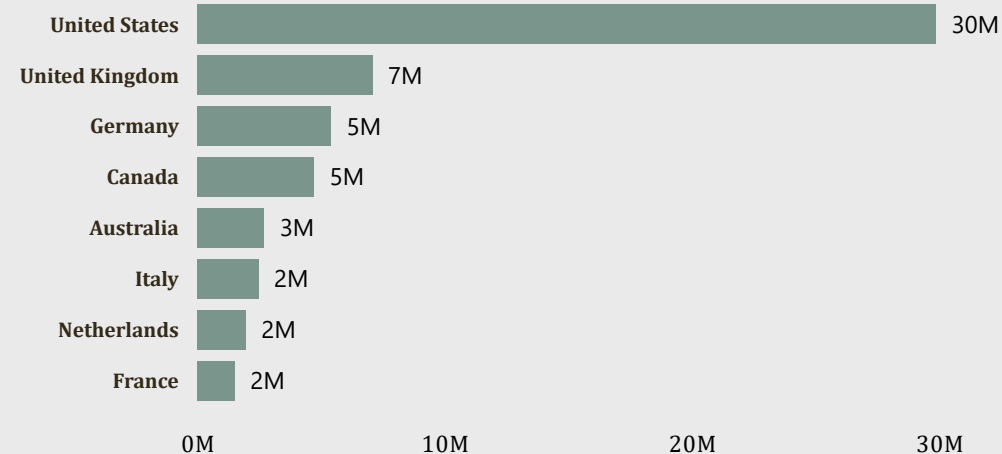
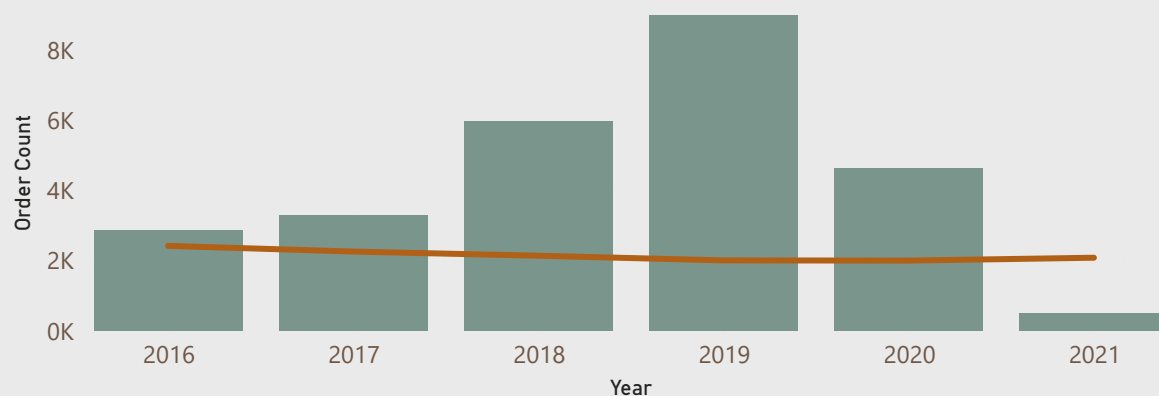
Revenue by Country

Order Type ● In-store ● Online



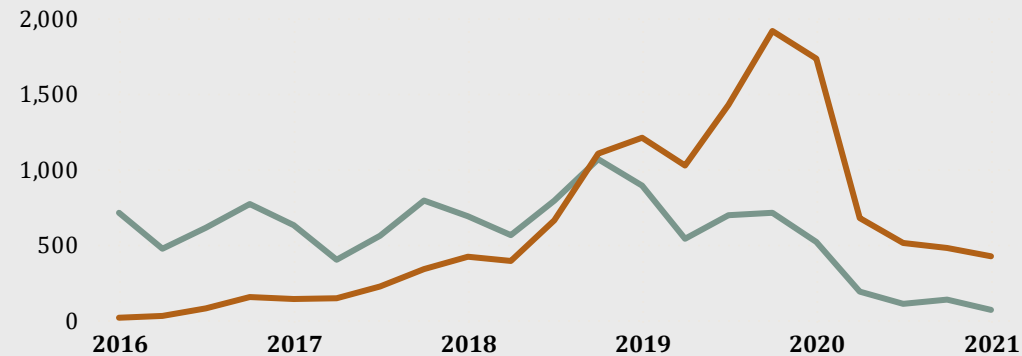
No. of Order and AOV over Time

● Order Count ● Average Order Value



New/Return Customer count

Type ● New ● Return



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Country

All

Year

All

Order Type

All

Demographic

28.33M

Male Revenue

6029

Male Count

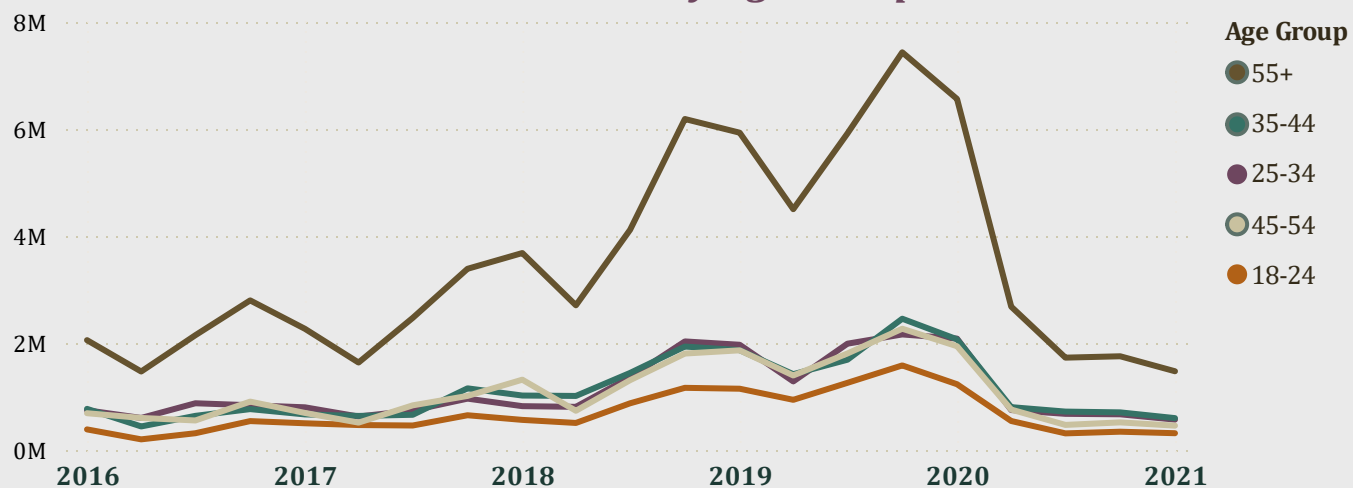
27.42M

Female Revenue

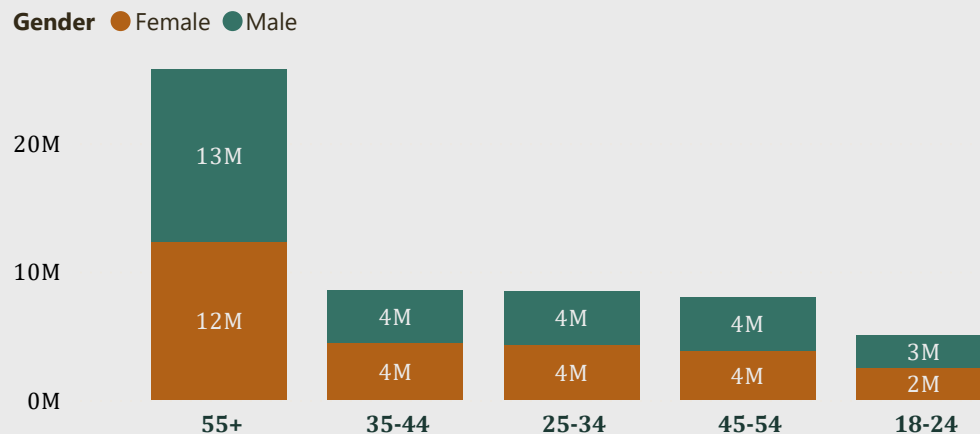
5858

Female Count

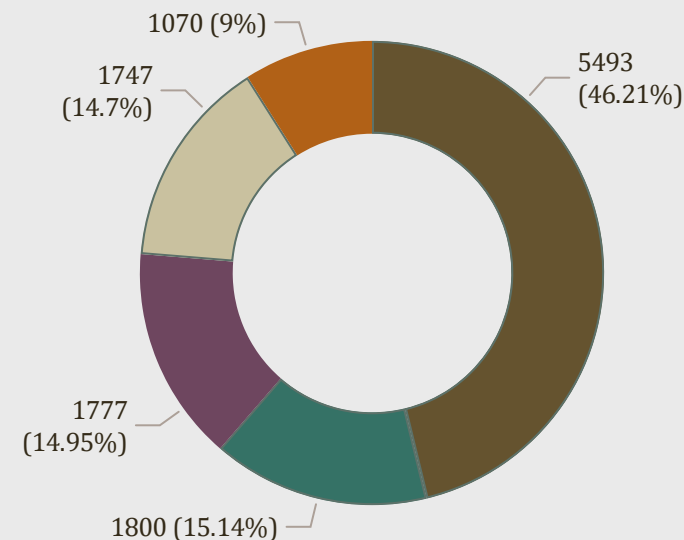
Revenue over Time by Age Group



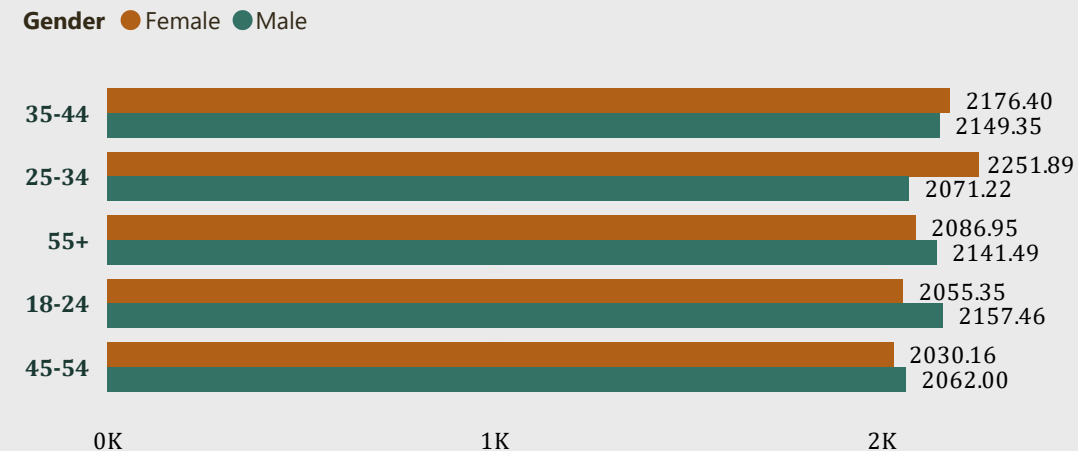
Total Revenue by Age Group



Customer count by Age Group



AOV by Age Group



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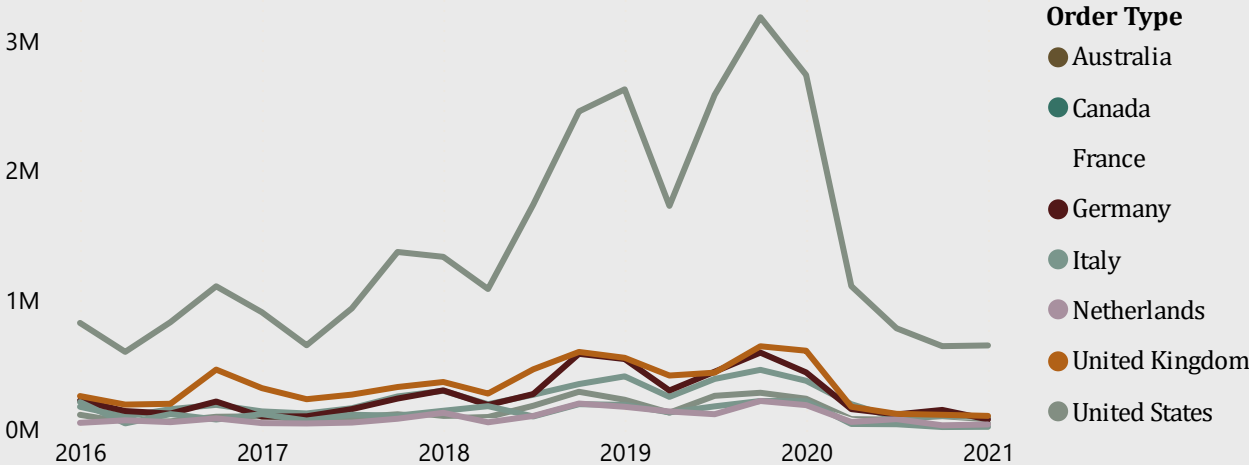
Product

Segment Analysis

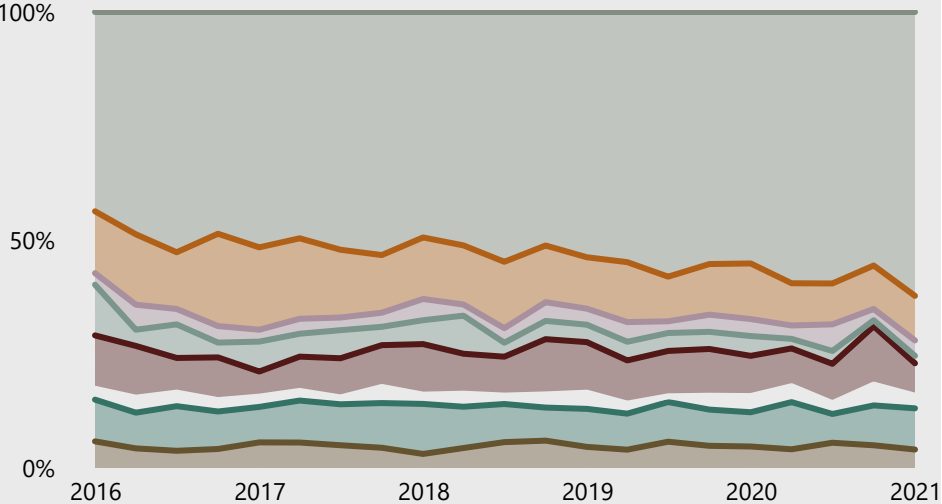
Retention

Market Analysis

Revenue by Country



Revenue Mix by Country



Market Comparison

Country

All

Gender

All

Year

All

Order Type

All

United States

Australia

5706 Customer count

780

1 : 3.6 Online/In-store Ratio

1 : 3.2

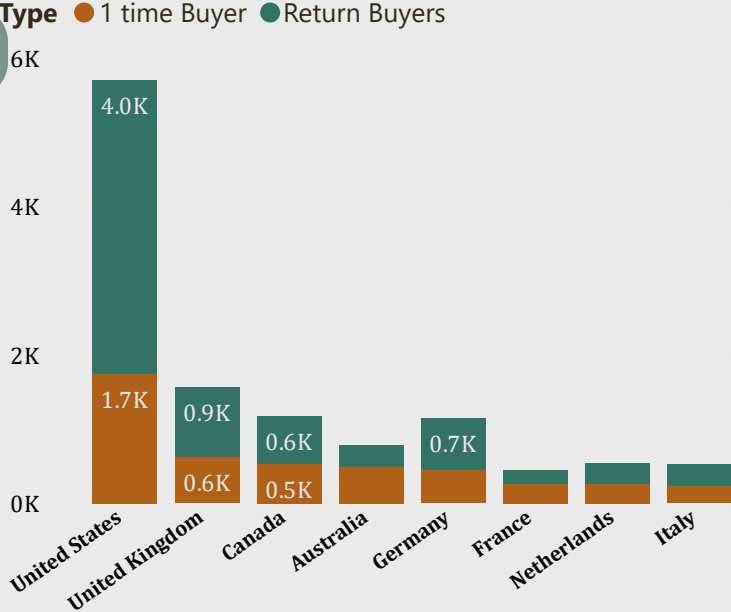
58.69 Return Rate

33.16

5,235.13 Average Spending

3,471.97

Customer Distribution by Country



Country	Order Count	Average Order Value	Total Revenue
United States	14221	2,100.53	29,871,631.17
United Kingdom	3421	2,070.77	7,084,088.12
Germany	2440	2,218.91	5,414,149.80
Canada	2281	2,071.17	4,724,334.63
Australia	1182	2,291.15	2,708,137.61
Italy	1101	2,248.54	2,475,645.77
Netherlands	976	2,010.40	1,962,154.27
France	704	2,152.47	1,515,338.22
Total	26326	2,117.89	55,755,479.59

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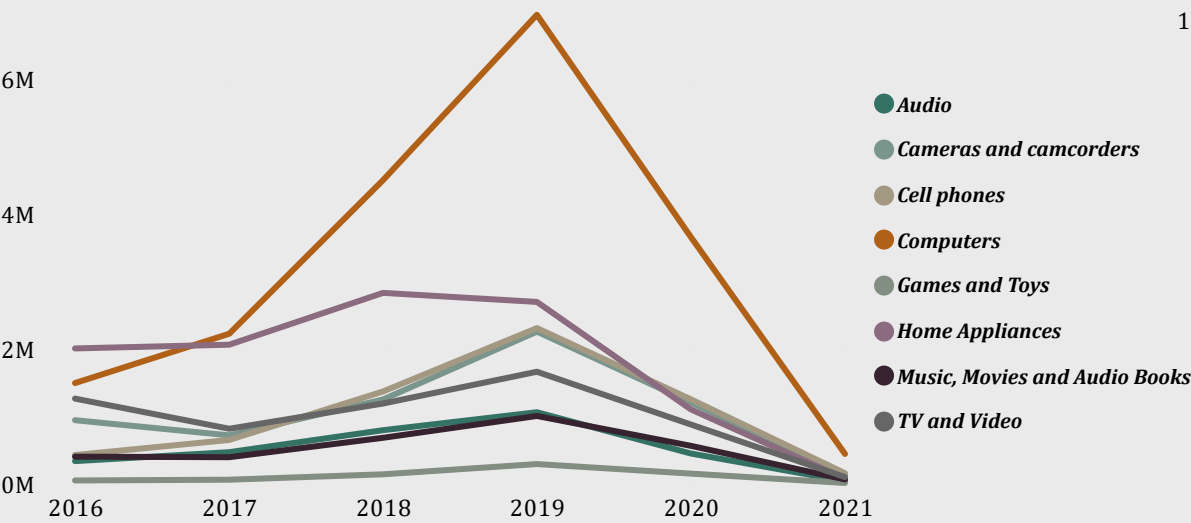
Product

Segment Analysis

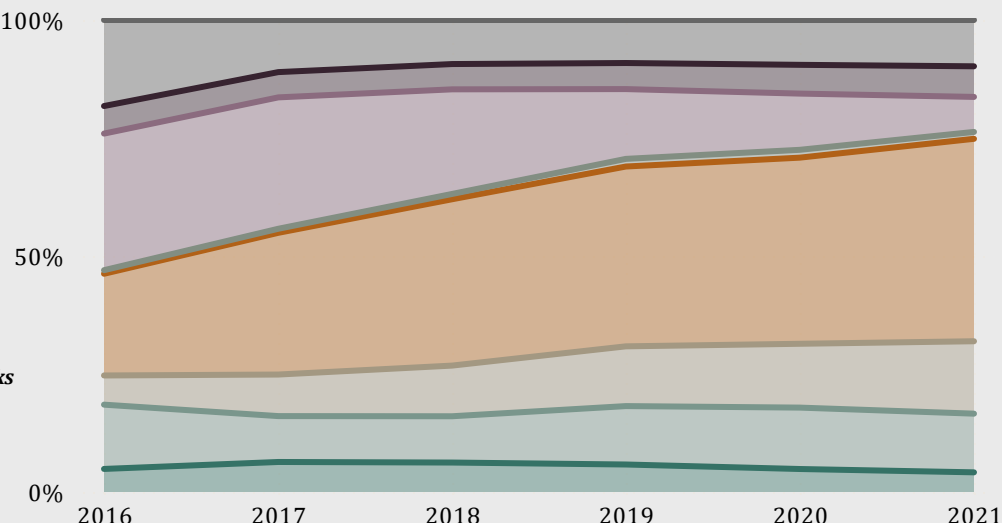
Retention

Product Analysis

Revenue by Category over time



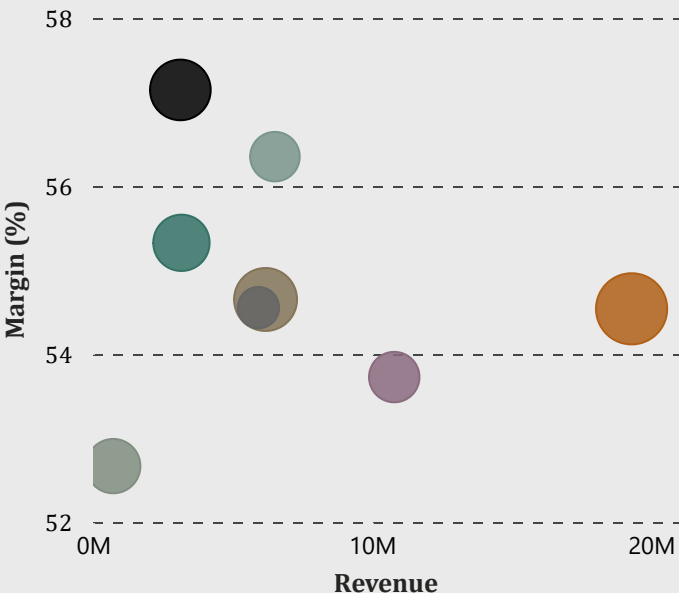
Revenue Mix by Category over time



Category Comparison

Category Comparison			
Computers	Music, Movies and Audio Books		
7459	Customer count	5894	
44151	Total Unit Sold	28802	
2,587.69	Average customer Spend	531.22	
54.54	Average Profit Margin (%)	57.14	

Revenue vs Average Profit Margin



Category	Order Count	Average Order Value	Total Revenue
Computers	10990	1,756.29	19,301,595.46
Home Appliances	5195	2,078.05	10,795,478.59
Cameras and camcorders	4995	1,305.34	6,520,168.02
Cell phones	8442	732.50	6,183,791.22
TV and Video	3325	1,783.15	5,928,982.69
Audio	6625	478.43	3,169,627.74
Music, Movies and Audio Books	7784	402.24	3,131,006.44
Games and Toys	6128	118.28	724,829.43
Total	26326	2,117.89	55,755,479.59

Year

All

New/Return

All

Order Type

All

Category

All

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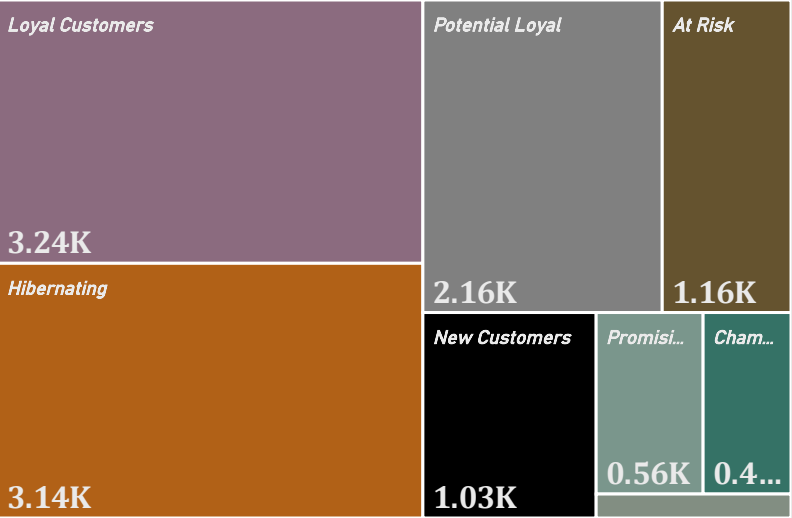
Product

Segment Analysis

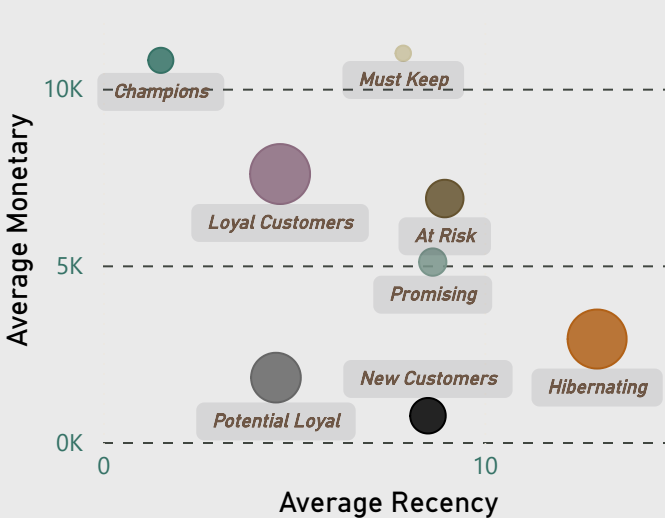
Retention

Segment Analysis

Customer Count by Segment



Segments Profile Matrix



Segment	Order Count	Average Order Value	Total Revenue
Loyal Customers	10334	2,378.62	24,580,709.31
Hibernating	4802	1,902.47	9,135,642.82
At Risk	3159	2,536.75	8,013,579.78
Champions	1938	2,569.42	4,979,538.71
Potential Loyal	3751	1,050.12	3,938,992.93
Promising	643	4,443.13	2,856,931.14
Must Keep	640	2,320.54	1,485,146.89
New Customers	1059	722.32	764,938.01
Total	26326	2,117.89	55,755,479.59

Segment Comparison

Country
All

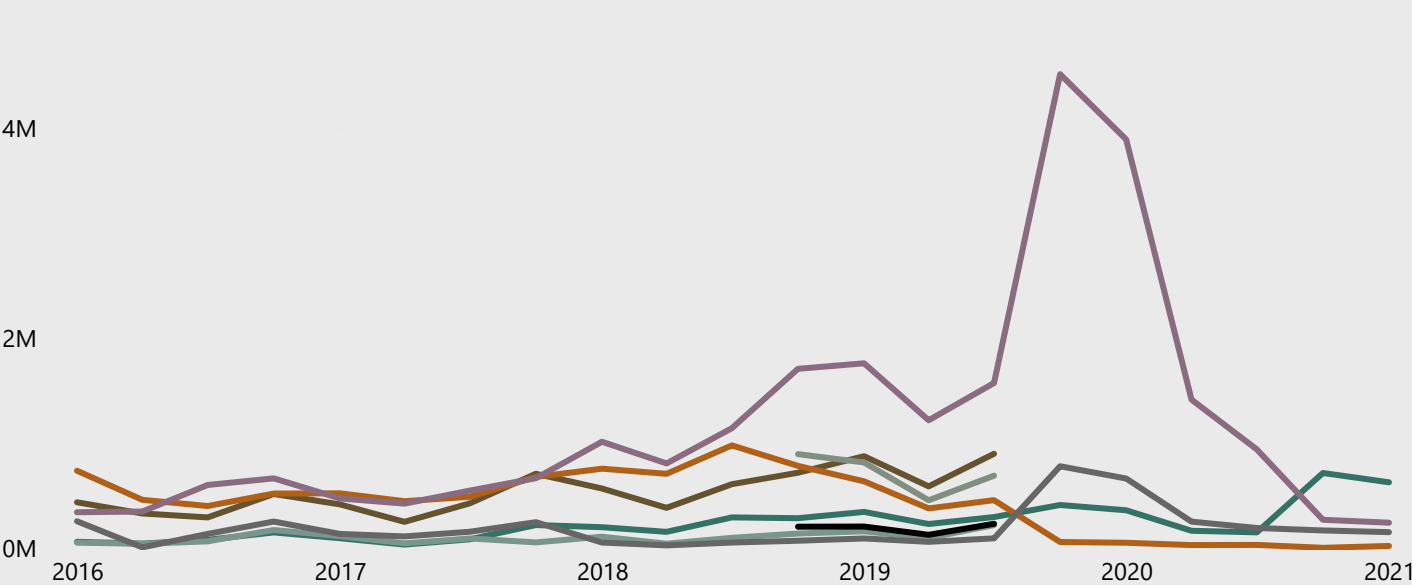
Age Group
All

Gender
All

Segment
All

Loyal Customers	Must Keep
1 : 3.7	1 : 4.7
24.58M	1.49M
7,584.30	11,001.09
44.09	2.66

Revenue by Segment



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Retention Rate

7.75

Avg 1-Quarter Retention Rate

7029

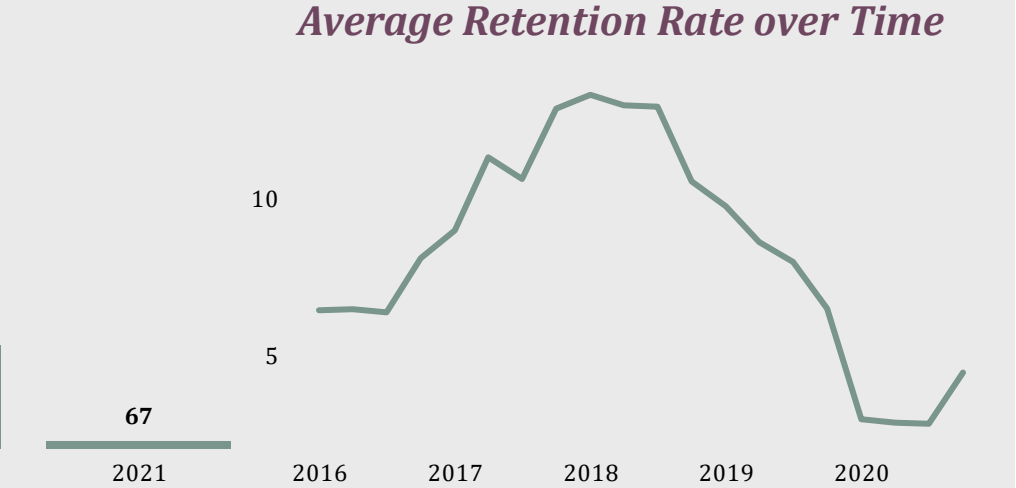
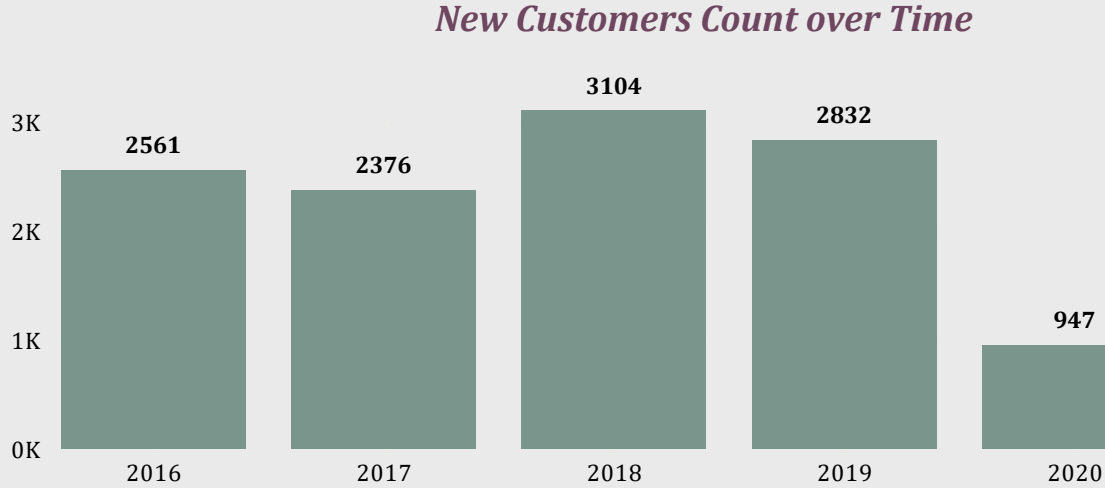
Post 1st-quarter-Returner

20.55

Max of retention_rate

566.05

Avg qtrly new Customer



year

All

Quarter

All

Segment

All

Quarter After

All

Retention Rate by Quarter

year	1.00	2.00	3.00	4.00	5.00	6.00	7.00	8.00
2016	5.08	5.88	5.50	5.83	6.65	7.38	9.00	9.36
2017	6.17	7.74	8.43	9.88	11.88	12.54	14.74	16.15
2018	10.88	12.36	14.11	14.27	15.31	13.75	11.61	7.18
2019	13.72	12.61	11.79	6.96	4.26	3.63	3.70	2.81
2020	2.90	2.86	3.65	2.90				
Average	7.75	8.58	9.26	8.86	9.52	9.71	10.63	10.27

- At Risk
- Champions
- Hibernating
- Loyal Customers
- Must Keep
- Potential Loyal

